

# Money and Banking



Zawak  
Nushtaq

# Money and Banking

Money as a medium of exchange essentially depends on its general acceptability in an economy as a way of financing transactions.

Money as a measure of value or as a unit of account makes it relatively easy to compare the value of different goods and services, something that was very difficult to do with barter.

Money as a standard of deferred payment enables people to borrow money and pay it back at a later date, this encourages the provision of credit and so is vital to the development of trade.

Money as a store of value or wealth could be adversely affected if a country experiences a relatively high rate of inflation because inflation will erode the purchasing power of a given sum of money over a period of time, so even though money enables saving to take place, the real value of those savings will fall if an economy experiences inflation.

Barter refers to the situation that occurs in which, instead of using money, transactions involve the direct exchange of goods and services without the use of any monetary mechanism. The main reason that barter was replaced by money is that it relies on a **double coincidence of wants**, that is, one person offering a good or service needs to be able to find someone who wants the particular good or service and that person also needs to be offering something in exchange that the seller wants.

### Characteristics

- \* **Generally acceptable**: This is the most characteristic. If people are not prepared to accept an item in exchange for products, as a store of value and standard of deferred payments, it will not act as money.
- \* **Recognisable**: People have to identify the item as money. Central banks make the country's notes and coins distinctive.
- \* **Portable**: It must be easy to carry money around. Bank notes are very light and coins are not too heavy. Transferring money from one account to another account can now be done electronically and so does not involve having to carry anything. Even using credit and debit cards to transfer money involves carrying very light deposits.

- \* **Divisible**: Any form of money must be divisible into units of different value.
- \* **Homogeneous**: Each unit of money must be identical. In the past, some governments called in money and redrued, for e.g. the silver in coins. People held back some of their money. When government returned the money, people valued it less than the money they kept back.
- \* **Limited in supply**: If there is an unlimited supply of money, it would have no value. This would make it unacceptable.
- \* **Not easy to counterfeit**: If it was easy to counterfeit money, it would lose its value. Central banks now build in special features to their bank notes to try preventing counterfeiting.

Money is often regarded as cash, but in many economies there is a move towards a cashless society. It is therefore important, in a modern economy, that money is seen as bank deposits in a variety of financial institutions, including banks, building societies, friendly societies and credit unions. A cheque is simply a means of transferring money; it is not money. Near money refers to financial assets that could settle some, but not all, debts. Liquidity refers to how easy or quick it is to turn a financial asset into money.

Money supply It refers to the total amount of money in an economy at any one time. It includes both broad and narrow money supply.

A broad money supply reflects the total purchasing power in an economy at a particular time. It is sometimes called  $M_3$  or  $M_4$  and includes not only coins and notes but also a wide range of deposits held with different financial service providers.  $\text{Broad money} = \text{Narrow money} + \text{store of value (savings account)}$

A narrow money supply is mainly the cash in an economy at a particular time. It is sometimes called  $M_0$  or  $M_1$  and mainly includes the notes and coins held by people and in balances with financial institutions. It is also sometimes known as the monetary base.  $\text{Narrow money} = \text{Medium of exchange}$

The quantity theory of money: This theory is based on the Fisher equation  $MV=PT$  (also commonly written as  $MV=PY$ ) where:  $M$  is money supply,  $V$  is the velocity of circulation (the number of times money changes hands),  $P$  is the price level,  $T$  or  $Y$  is the transactions or output of the economy.

Both sides of the equation have to equal each other since both sides represents total expenditure in the economy. To turn the equation into theory, monetarists assume that  $V$  and  $T$  are constant, not being affected by changes in the money supply, so that

a change in the money supply causes an equal percentage change in the price level.

For e.g. the money supply may initially be \$80 billion, the velocity of circulation 5, price level 100, and output 4 billion. If  $V$  and  $T$  are unchanged, an increase in the money supply by 50% to 120 would cause the price level to also rise by 50% to 150. The monetarist view is that inflation is a monetary phenomenon. However, Keynesians argue that the equation cannot be turned into a theory since  $V$  and  $T$  can change with a change in money supply and so no predictions can be made about what effect a change in  $M$  will have on  $P$ .

Keynesian and monetarist theoretical approaches Keynesians are economists whose ideas are based on the work of the British economist John Maynard Keynes (1883-1946). They believe that if left to market forces, there is no guarantee that the economy will achieve a full employment level of GDP. Indeed, they think that the level of GDP can deviate from the full employment level by a large amount and for long periods. In such cases, they favour government intervention to influence the level of economic activity. They argue that if there is high unemployment, government should use budget deficit to increase aggregate demand. They believe that a government can assess the appropriate amount of extra spending to inject into the economy in such a situation. For most Keynesians, the avoidance of unemployment is a key priority.

In contrast, for monetarists, the control of inflation is seen as the top priority

for a government. This group of economists, the best known of whom was the American economist Milton Friedman (1912-2006), argue that inflation is the result of an excessive growth of the money supply, so they believe that the main role of a government is to control the money supply. They also maintain that attempts to reduce unemployment by increasing government spending will only succeed in raising inflation in the long run. They think that the economy is inherently stable unless disturbed by erratic changes in the growth of the money supply.

### Functions of commercial banks

Providing deposits account: Commercial banks provide a variety of different accounts, including demand deposits or current accounts where money can be deposited and withdrawn at any time, fixed deposit accounts, where money is deposited for a fixed period of time, and various kinds of savings accounts.

Lending money: Commercial banks can lend money in different forms, including an overdraft, where a current account is allowed to be overdrawn up to a certain maximum amount, a loan, where a specific amount of money is lent for a particular period of time, and a mortgage, similar to a loan but usually for a longer period of time in order to buy a property.

Holding or providing cash, securities and equity: Commercial banks can hold or provide cash, in the form of notes and coins and various kinds of securities, such as shares in limited companies and government securities.

The reserve ratio and the capital ratio: The reserve ratio of a commercial bank refers to central bank regulations that establish the minimum capital reserves that a commercial bank must hold as a percentage of its deposits. The bank reserve ratio is also sometimes known as the cash reserve ratio (CRR) or bank reserve requirement. A higher proportion of reserves indicates financial soundness because a commercial bank would be better able to meet any future losses.

The reserve ratio is a reserves to capital ratio and is calculated by reserves divided by capital. As an example, if the reserve ratio was 11% and a commercial bank had deposits of \$1 billion, it would be required to have \$110 million on reserve.

The capital ratio of a commercial bank measures the funds that it has against the riskier assets that it holds that could be vulnerable in the event of a financial crisis. Commercial banks are sometimes required to carry out stress tests to check that they have enough of a capital buffer to cope with any possible economic and financial circumstances. Commercial banks are usually required to maintain a capital ratio of at least 8%, that is, this is the bank's core equity capital divided by its total risk-weighted assets.

## Objectives of Commercial banks

**Liquidity:** This refers, to the ease with which assets can be converted into cash. In relation to commercial banks, this refers to their ability to finance all of their obligations when due and these obligations can be in relation to lending, investment, the withdrawal of deposits and the maturity of liabilities.

**Security:** Commercial banks need to clearly demonstrate that they are safe, secure and trustworthy means of storing money so that customers have confidence in them

**Profitability:** Commercial banks are usually examples of public limited companies and, like any such company, their main aim is to make a profit for their shareholders.

## Changes in money supply:

- \* An increase in commercial bank lending
- \* An increase in government spending financed by borrowing from commercial banks
- \* An increase in government spending financed by borrowing from central bank
- \* The sale of government bonds to private sector financial institutions (quantitative easing)
- \* More money entering than leaving the country

Financial institutions, such as commercial bank, are able to create 'new' money as a result of additional cash deposits. This is termed as credit creation. It is understood that only a small proportion of such deposits need to be available to give out to people, allowing the financial institutions to, perhaps, have a cash ratio of 10%, enabling them to lend out the remaining 90%. This process is known as fractional reserve banking and the ratio of new money created to the initial money deposited is known as the bank credit multiplier.

## The role of Central Bank

The central bank of a country carries out a range of functions. It issues bank notes and authorises the minting of coins. It is the bank of the commercial banks. Commercial banks keep deposits in the central bank. This enables the commercial banks to make and receive payments from other commercial banks and to withdraw money when needed. Their deposits at the central bank are considered to be liquid assets. The central bank will also usually lend to commercial bank if they get into financial difficulty.

Two of the other key functions of central bank are to act as the banker to the government and to implement the government's monetary policy.

Government deficit financing If the government spends more than it raises in taxation, it will have to borrow. This is organised by the central bank. If the central bank borrows, on behalf of the government, by selling government securities, including National saving certificates, to the non-bank private sector (non-bank firms and the general public), it will be using existing money. The purchasers will be likely to draw money out of their bank deposits. So, the rise in liquid assets resulting from increased government spending will be matched by an equal fall in liquid assets as money is withdrawn.

However, if a budget deficit is financed by borrowing from commercial banks or the central bank itself, the money supply will increase. When a government borrows from the central bank, it spends money drawn out of its account kept at the central bank. This spending will increase deposits in commercial banks and so increases their liquid assets. With more liquid assets, they will be able to lend more. Commercial banks will also be able to lend more if the government borrows from them by selling them short term government securities. This is because these securities count as liquid assets and so can be used as the basis for loans.

Quantitative easing: When the rate of interest is very low, a central bank may decide to try to increase aggregate demand by the use of quantitative easing. This involves a central bank buying both government and private securities, of different maturities, from financial institutions, including commercial banks. In return for the securities, the central bank credits the accounts of the commercial banks. With more liquid assets, it

is hoped that the commercial banks will lend more. This should increase the money supply and reduce the short term and long term interest rate. These changes may, in turn, increase investment and consumer expenditure and so aggregate demand and economic activity.

## Questions

- Q1 Explain 4 functions of money? 8
- Q2 Explain 4 characteristics of money? 8
- Q3 Define money supply and differentiate between narrow and broad money? 6
- Q4 Explain quantity theory of money, use numerical example? 8
- Q5 Explain Keynesian and monetarists theoretical approaches? 8
- Q6 Explain three functions of commercial banks? 6
- Q7 Explain the difference between reserve ratio and capital ratio? 8
- Q8 Explain objectives of commercial banks? 6
- Q9 State 5 factors to change money supply? 5
- Q10 Explain credit creation? 4

Q11 Explain the role of central Bank? 4

Q12 Explain government deficit financing? 8

Q13 Explain quantitative easing? 6